



False start 1 — Cedar Junction processing asset

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Fictional author: Evan Vilander, Judgment Officer; technical dissent by Mari Varela

Record origin: SYNTHETIC_COMPANY_ANALYSIS | **Evidence state:** SYNTHETIC_RECONSTRUCTED

Decision state: LOCKED_DERIVED_IMPLEMENTATION of the approved first failure

Cedar Junction Conversion Services, LLC and its Kentucky brownfield processing property are fictional. Its legal name, geography, personnel roles, seller figures and artifacts are derived case detail; none identifies a real licensee. Sable Harbor did not acquire or operate the property. The record depicts an abandoned transaction and confers no conversion authority.

Initial thesis — November 6, 2023

The seller's summary offered an idled downstream processing estate for \$12M and described a \$14M restart. Vilander thought the price could buy a scarce position between mine output and downstream customers. The thesis was strategically attractive because it appeared to address the missing link in his dependency map. He treated a restart timetable as a solvable execution matter before establishing what “restart” included.

The initial model excluded customer requalification delay and assumed that former supervisors could return. Mari's margin note challenged the premise: ownership of buildings was not ownership of an operating capability. Vilander initially argued that the price gave Sable Harbor room to repair defects. The dissent remained attached to the model.

Evidence excerpts and changes in belief

ID / available date	Reconstructed artifact	Consequence for the case
CJ-01 / 2023-11-06	Seller teaser: \$12M purchase and \$14M restart; “established customer relationships”	Seller assertion, not verified capital estimate or order book
CJ-02 / 2023-12-01	Equipment walkdown: obsolete controls, unpriced utility work and uncertain stored-equipment condition	Independent preliminary work scope reached \$49M before purchase, financing or full contingencies
CJ-03 / 2023-12-15	Environmental desktop memorandum: historical process areas and incomplete waste characterization	\$18M screening exposure was a risk allowance, not a booked liability or certified closure estimate
CJ-04 / 2024-01-12	Customer interview read-back: prior supplier relationship would not waive qualification	Earliest plausible revenue moved several years; no commitment was supplied
CJ-05 / 2024-01-26	Personnel availability schedule: named former specialists had other jobs or would not return	Critical know-how was not transferable with the assets

ID / available date	Reconstructed artifact	Consequence for the case
CJ-06 / 2024-02-09	Revised cash exposure: $12 + 49 + 18 = \$79\text{M}$ before working capital and delay	The apparent \$26M entry/restart became an uncertain much larger undertaking

These numbers are deliberately labeled seller or analyst assumptions. They are not expenditures by Pale Sun and must never enter the selected Red Wash or ARU books. The model's purpose was to expose what the proposed low price omitted.

Kill criteria, dissent and decision

The revised decision required three independently supported conditions: a financeable restart scope with environmental boundaries; a credible qualified operating team; and customer qualification that fit the funded runway. Failure of any condition defeated the acquisition thesis even if the purchase price fell.

The commercial sponsor's February 12 dissent favored buying an option while prices remained low. Mari replied that an option carrying uncontrolled site obligations was not cheap optionality. Vilander accepted that distinction. On February 16 he recommended terminating the acquisition work, preserving the source file and declining exclusivity. Daniel accepted the closure. No acquisition, government filing, cleanup program or operating authority is recorded.

After-action note

Vilander wrote that he had mistaken strategic position for transferable capability. Management remembered the willingness to kill his own proposal. The remaining uncertainty was whether another owner with an existing qualified team could succeed; the evidence did not prove the property worthless to everyone. The consequence for later diligence was concrete: separate asset price, liability exposure, capability, customer qualification and time to cash before declaring a bottleneck investable.

Related records: [original Problem Book](#), [Juniper Mesa](#), [Red Wash AAR](#).